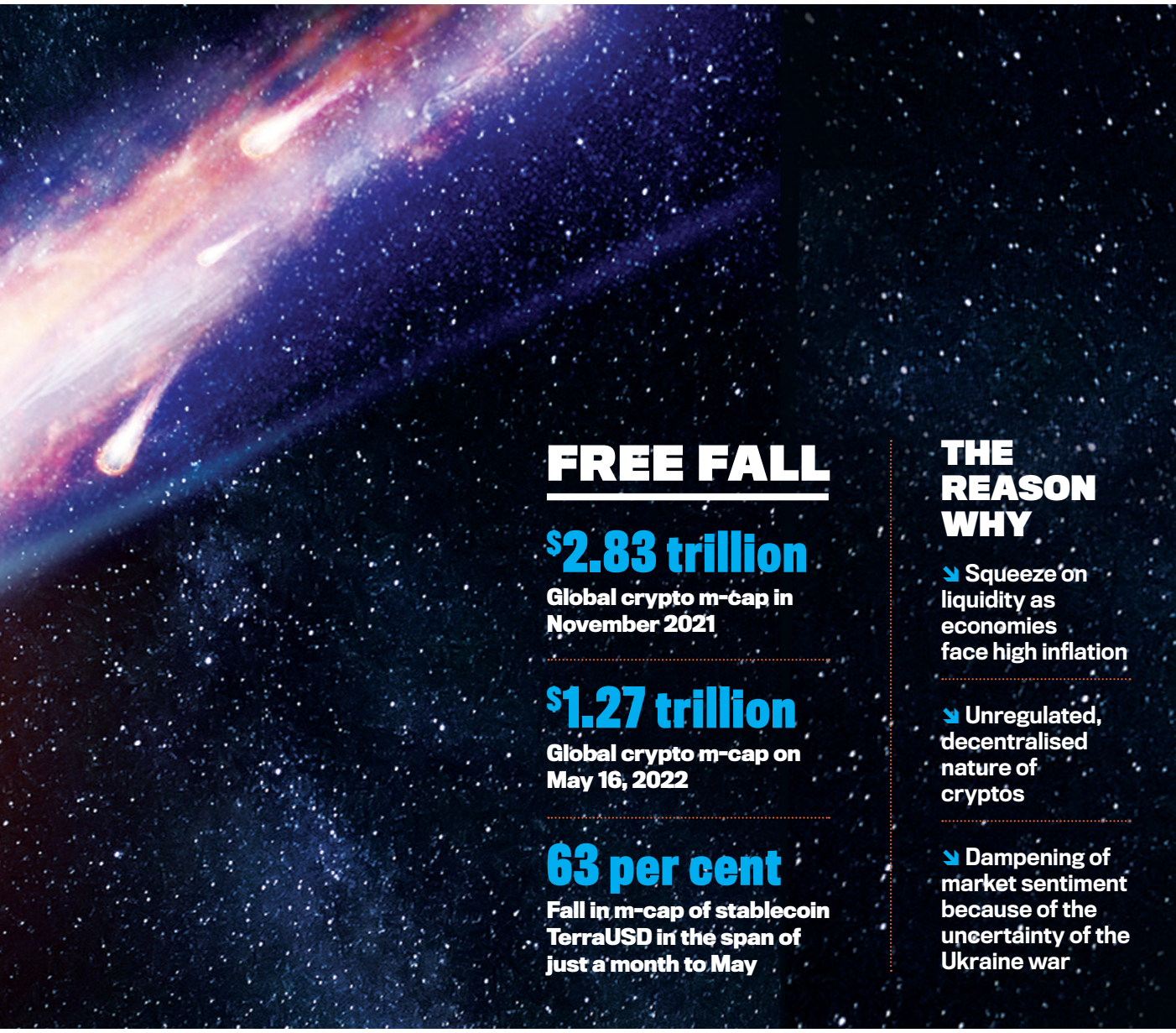


WITH NO PHYSICAL ASSETS TO BACK THEM, CRYPTOS ARE VULNERABLE TO THE VAGARIES OF THE FINANCIAL WORLD

repo rates by 40 bps on May 4, its first rate hike since the pandemic's onset.

Before the crash, cryptos had seen a sharp rise in investments during the pandemic due to the huge stimulus measures the world over. A stimulus of $10 trillion was pumped into the global economy in the first two months of the pandemic alone. "A part of the stimulus went into investable assets like cryptos, stock markets, real estate and start-ups," says Kunal Nandwani, co-founder and CEO, u-Trade Solutions. "Now, as banks pull out liquidity from the respective economies by buying bonds and raising interest rates, there is a sudden liquidity crunch." Panicking investors began selling off their investments, including in cryptos, precipitating the current crisis. Others are holding on to their investments but unwilling to put in any more money at present. "I am holding on to the portfolios I already have," says Anand Mahesh, an advertising professional based in New Delhi, who had invested Rs 2 lakh in cryptos like ethereum, polkadot, solana and dogecoin. "I'm in no hurry to withdraw the amount, I had put it in as a risk investment. It's cyclical. Bitcoin has dipped earlier too, but bounced back," he says. He still finds cryptos attractive due to their liquid nature, where investors get money immediately after sell-off. Some even saw the move to tax gains from crypto trading as legitimising them.

However, Nandwani predicts a bleak future for cryptos. "They may have a further free fall, and may not even come back," he says, adding that retail investors who have burnt their fingers may quit their portfolios for good. That may sound too drastic, but it will be a while before cryptos are a rage again. ■